

Q2 2026 Market Intelligence Report

Sector Performance & Risk Dashboard

All 11 S&P GICS Sectors | SPY Benchmark

Report Type	Q2 2026 Sector Performance & Risk Analysis
Coverage	11 S&P GICS Sectors + SPY (12 ETFs total)
Q2 Period	Apr 1 – Jun 3, 2026 (70% of Q2 complete)
Data Sources	Yahoo Finance + Federal Reserve (FRED)
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SAMPLE REPORT — LIVE DATA

1. Executive Summary

- **Technology (XLK)** led Q2 with **+45.5%** — vs. SPY **+15.1%**
- **Utilities (XLU)** lagged at **-5.2%** — 8 of 11 sectors are positive Q2-to-date
- **Momentum signals:** 4 sectors Bullish / 6 Neutral / 1 Bearish (20/50-day MA crossover)
- **Yield curve:** **Normal** (+0.41% spread) — Fed Funds 3.63%, 10Y 4.46%, 2Y 4.05%, Unemployment 4.3%, CPI 332.4

2. Macroeconomic Context (FRED)

Indicator	Series	Latest Value	As Of
Federal Funds Rate (%)	FEDFUNDS	3.63	2026-05-01
10-Year Treasury Yield (%)	DGS10	4.46	2026-06-02
2-Year Treasury Yield (%)	DGS2	4.05	2026-06-02
Unemployment Rate (%)	UNRATE	4.30	2026-04-01
Consumer Price Index	CPIAUCSL	332.41	2026-04-01

Source: Federal Reserve Economic Data (FRED) — fred.stlouisfed.org | Pulled: 2026-06-03 23:00:19

Yield curve is **Normal** (10Y-2Y spread: +0.41%). Positive spread supports risk-on positioning in cyclical. Unemployment at 4.3% indicates a historically tight labor market.

3. Sector Performance Scoreboard

Sorted by Q2 return (descending). Ann. Volatility and Momentum from 90-day trailing / full 1-year window. Momentum: 20-day MA vs. 50-day MA crossover with price confirmation.

Rank	Sector	ETF	Q2 Return	YTD Return	52-Week	Ann. Vol	Momentum
—	S&P 500 (Benchmark)	SPY	+15.1%	+10.7%	+28.0%	13.7%	Bullish
1	Technology	XLK	+45.5%	+36.2%	+66.7%	26.2%	Bullish
2	Consumer Discretionary	XLY	+6.3%	-1.2%	+9.5%	19.5%	Neutral
3	Real Estate	XLRE	+6.3%	+8.5%	+7.8%	14.7%	Neutral
4	Industrials	XLI	+5.9%	+10.5%	+22.7%	19.1%	Bullish
5	Financials	XLF	+2.9%	-6.9%	+1.7%	15.8%	Neutral
6	Materials	XLB	+2.3%	+12.4%	+19.5%	18.9%	Bullish
7	Consumer Staples	XLP	+0.9%	+6.3%	+2.7%	14.9%	Neutral
8	Communication Services	XLC	+0.8%	-3.8%	+11.0%	14.8%	Neutral
9	Health Care	XLV	-0.1%	-4.7%	+12.7%	15.1%	Bullish
10	Energy	XLE	-0.4%	+29.4%	+47.9%	24.0%	Neutral
11	Utilities	XLU	-5.2%	+1.9%	+11.1%	17.4%	Bearish

Source: Yahoo Finance (yfinance 1-year daily OHLCV) | Q2 = Apr 1–June 03, 2026 | YTD = Jan 1–June 03, 2026 | 52-Week = 1-year trailing | Pulled: 2026-06-03 23:00:19

LINKEDIN IMAGE 1 — q2-market-perf.png

4. Risk Dashboard

Sorted by VaR 95% (most exposed first). Risk metrics use 90-day trailing window for statistical power. Sharpe denominator: annualized vol from 90-day trailing returns. RF = FEDFUNDS 3.63%.

Sector	ETF	Sharpe (90d)	VaR 95% (1mo)	Q2 Max DD	Ann. Vol	Risk Class
Technology	XLK	3.20	-10.8%	-3.5%	26.2%	HIGH
Energy	XLE	2.13	-10.4%	-8.5%	24.0%	HIGH
Consumer Discretionary	XLY	-0.74	-9.4%	-4.5%	19.5%	HIGH
Materials	XLB	0.44	-8.8%	-6.4%	18.9%	HIGH
Industrials	XLI	0.79	-8.7%	-4.6%	19.1%	HIGH
Utilities	XLU	0.31	-8.1%	-8.6%	17.4%	HIGH
Financials	XLF	-0.93	-7.7%	-3.3%	15.8%	MED
Health Care	XLV	-1.38	-7.5%	-4.6%	15.1%	MED
Communication Services	XLC	-1.06	-7.2%	-5.9%	14.8%	MED
Consumer Staples	XLP	-0.21	-7.0%	-4.9%	14.9%	MED
Real Estate	XLRE	1.00	-6.6%	-3.4%	14.7%	MED

VaR: parametric, 95% confidence, 21-business-day horizon | Sharpe: (Ann. Return – FEDFUNDS) / Ann. Vol | Max DD: Q2 peak-to-trough | Source: Yahoo Finance | Pulled: 2026-06-03 23:00:19

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5. Q3 2026 Positioning Notes

- **Leaders heading into Q3:** XLK (+45.5%), XLY (+6.3%), XLRE (+6.3%) — momentum and return both favor continued exposure if macro holds.
- **Laggards to watch:** XLV (-0.1%), XLE (-0.4%), XLU (-5.2%) — underperformance Q2-to-date; evaluate catalysts before adding exposure.
- **Rate environment:** Fed Funds at 3.63% — accommodative; supports growth sectors.
- **Yield curve (Normal):** Normalized curve supports cyclicals (XLY, XLK, XLI) into Q3.
- **Q2 ends June 30** — 27 trading days remain. Sector rotation into Q3 begins late June.

Macro Risk Factors — Q3 2026

Risk Factor	Current Reading	Risk Level	Implication
Fed Funds Rate	3.63%	LOW	Accommodative — supportive of equities
10Y-2Y Yield Spread	+0.41%	LOW	Positive — normal term structure
Unemployment Rate	4.3%	LOW	Tight labor market — wage pressure but consumer spending supported
Consumer Price Index	332.4	MED	Monitor for persistence above Fed 2% target — impacts rate path

6. Methodology & Data Sources

Component	Method	Source
Sector ETF Data	yfinance — 1-year daily close prices, pulled live at generation	finance.yahoo.com
Q2 Return	Simple period return: (close Apr 1 to today) / close Apr 1 — actual, not annualized	Computed
YTD Return	Simple period return: (close Jan 1 to today) / close Jan 1 — actual	Computed
52-Week Return	Full 1-year window: last available close vs. first	Computed
Annualized Volatility	Daily std dev $\times \sqrt{252}$ from 90-day trailing window	Computed
Sharpe Ratio (90d)	(Annualized Return – FEDFUNDS) / Annualized Vol — 90-day trailing	Computed
VaR 95% (Monthly)	Parametric: (mean daily return – 1.645 $\times$ daily vol) $\times \sqrt{21}$ — 90-day trailing	Computed
Q2 Max Drawdown	Peak-to-trough from Apr 1 close to latest close (Q2 window)	Computed
Momentum Signal	20-day MA vs. 50-day MA crossover with price confirmation (1-year window)	Computed
Macro Data	FRED CSV download (curl) — FEDFUNDS, DGS10, DGS2, UNRATE, CPIAUCSL	fred.stlouisfed.org
Report Date	Q2 snapshot as of June 03, 2026 — 70% of Q2 complete (Apr 1 – Jun 30)	—

All data publicly available. Yahoo Finance: finance.yahoo.com | FRED: fred.stlouisfed.org | Pulled: 2026-06-03 23:00:19

Risk Classification Thresholds (ETF-appropriate): VaR: HIGH < –8%, MED –4% to –8%, LOW $\geq$ –4% | Max Drawdown: HIGH < –12%, MED –6% to –12%, LOW $\geq$ –6% | Ann. Volatility: HIGH > 22%, MED 16–22%, LOW $\leq$ 16% | Risk Class = highest of the three.

Disclaimer: This report uses **live market data from Yahoo Finance and the Federal Reserve (FRED)** at generation time. All underlying market data is real and independently verifiable at finance.yahoo.com and fred.stlouisfed.org. Does **not** constitute financial advice, investment recommendation, or solicitation. Past performance does not guarantee future results. Data subject to revision by source.

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